

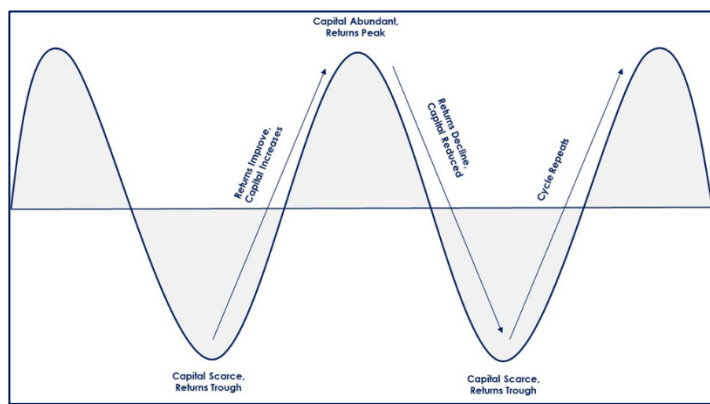


Market Cycles

“There is nothing permanent except change.” – Heraclitus

The longer conditions prevail, the more society believes they won’t change—or can’t. This dynamic is omnipresent, both currently and historically, with perhaps no better examples than the decline of the British Empire, Roman Empire, and Ming Dynasty. It would have been unimaginable, at their respective peaks, to consider their eventual downfall. And yet, such societal changes often take centuries to occur, thanks to myriad underlying causes, often rooted in economics, trade, and the related military consequences.

Economies are far more variable than societal shifts, as there are natural cycles to business activity. A fundamental but underappreciated concept is the capital cycle, where money is increasingly allocated to the highest returning businesses/industries, thereby eroding future returns and resulting in eventual capital withdrawal, thus setting the preconditions for a renewed investment cycle. The cycles are far more pronounced in certain industries, particularly those with low barriers to entry and commoditized products or services.



Source: Horizon Kinetics Research

The broader economy tends to have longer and less severe cycles than individual industries. Economic regimes often evolve on a matrix of growth and inflation, with attendant interest rates. The last period of high inflation, which included volatile real growth, began in the 1970s and concluded in the early 1980s. This ushered in a period that was subsequently referred to as the “Great

Moderation,” with lower volatility in business activity, and inflation in the United States. The U.S. Federal Reserve Bank was once eager to assume credit for this era by virtue of its independence and ability to manage the business cycle via monetary policy.

The Great Moderation was largely illusory and ended abruptly in 2008 with the Global Financial Crisis, which was facilitated by misallocated capital, and arguably aided and abetted by central bank policies. The hubris of financial market participants during this era was driven by rhetoric from central bankers and politicians regarding the taming of the business cycle. This coincided with back-tested data—which, at the time, suggested that nationally diversified portfolios of mortgages had virtually no possibility of collective, simultaneous distress. This encouraged the rapid growth of mortgage investment products, often with leverage. There was little to no thought given to how or why default rates could change going forward. This oversight ultimately contributed to the near-collapse of the global financial system.



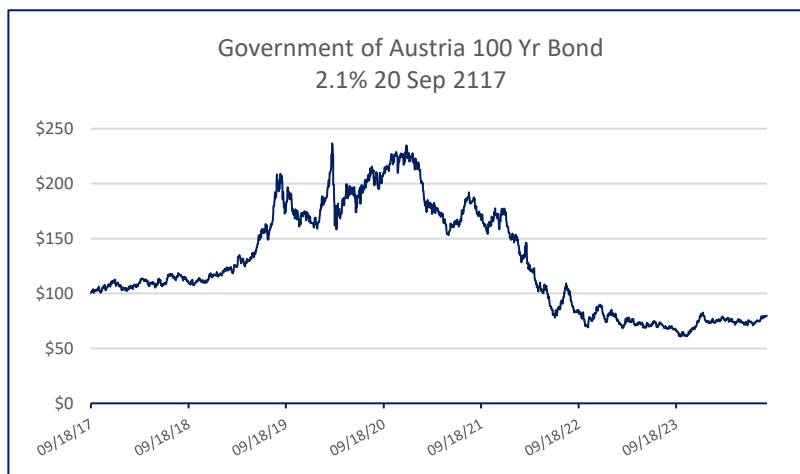
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Markets eventually stabilized, but not without immense government intervention. One of the tools for stabilizing and stimulating the economy was lower interest rates—initially managed through the overnight lending rate via traditional monetary policy, and later expanded to include longer dated maturities via various quantitative easing programs. These policies barely resulted in positive economic growth, or enough inflation to reach the Fed’s 2% CPI “target.”

Eventually, this fostered the belief that rates could *never* go up and inflation would *never* return. Trillions of dollars were subsequently invested on this faulty premise, perhaps most infamously the Austrian 100-Year Bond (2117), which offered a starting yield of 2.1%. This bond has subsequently lost approximately 27% of its face value, yet still yields a paltry 2.7% at the current price.

The bond was issued in September of 2017, when the U.S. Federal Funds rate was approximately 1.25%, and the 10-Year Treasury yielded approximately 2.2%. The Austrian bond initially rose by over 135% through late 2020, when U.S. and E.U. overnight interest rates fell to zero and reference 10-Year bonds fell to negative yields (to maturity) in Europe—and below 1% in the U.S. Thus, if we take a peak-to-trough calculation on the Austrian bond, it has lost close to 67% of its value.



Source: Bloomberg

The Austrian Bond, which we view as the poster child for misallocated capital during the previous decade, has the unfortunate obligation of having a daily quoted price. As such, we can readily calculate the losses based on the market price. This stands in contrast to the trillions of dollars in commercial real estate, private equity, and venture capital investments made on similar

inflation and interest rate assumptions, but with no market price to reference. These assets have simply not yet recognized their true market price, but the Austrian bond (and various public reference equities) suggest considerable losses. Perhaps this contributes to the Federal Reserve’s apparent desire to materially reduce interest rates this year.

This brings us to the current day. The Federal Reserve was prompted to increase interest rates in 2022 after initially discrediting a nascent inflationary surge. The ultimate 525-basis-point hiking cycle coincided with annual CPI inflation falling from a peak of approximately 9% to a current



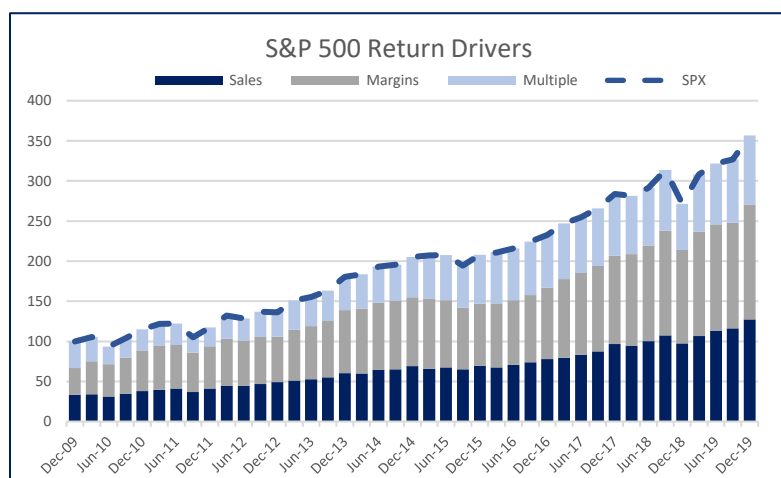
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level around 3%. Although this inflation reading is above the stated 2% target, it is expected that this will accommodate at least 100 basis points of interest rate¹ cuts by the end of this year.

The market is effectively assuming that high interest rates have vanquished inflation, thus facilitating a rate-cutting cycle. Market pricing further suggests this cycle will result in a new era of sustained low inflation, low interest rates, and moderate growth. This is essentially the 2010-2019 market backdrop, which delivered an annual equity market return of 13.6%. Notwithstanding the plentiful and significant differences today, many investors expect a similar equity return on a forward-looking basis.

However, if we unpack the drivers of the returns for the period, the S&P 500 Index grew revenue at approximately 4.6% per year and expanded profit margins (off a recession nadir) by 425 basis points, driving earnings per share growth of about 8.6%. The market also capitalized the earnings at a P/E ratio approximately four turns higher relative to 2009, thus delivering the total return for the period. Let us not forget that the 10-Year U.S. Treasury yield averaged 2.4% during this period, which translated into low corporate funding costs, which in turn fueled part of the earnings growth.



Source: Standard & Poors, Horizon Kinetics calculations

The market backdrop has profoundly changed as compared to the 2010-2019 period. Federal debts have risen, while many low-cost resources have been drawn, and corporate profits have surged. More importantly, the U.S. appears to have a *structural* budget deficit of approximately \$2 trillion per year (6-7% of GDP). These factors are likely to support economic growth, but also elevated aggregate price levels.

As such, despite increasing evidence that interest rates are not overly influential on inflation levels, fiscal and supply/demand drivers support higher structural inflation. This will likely preclude the magnitude of interest rate hikes that the market desires, if only to attempt to manage inflation expectations. Despite this reality, most investors have portfolios that are highly sensitive to easier financial conditions.

¹ CME Fed Watch, August 21, 2024



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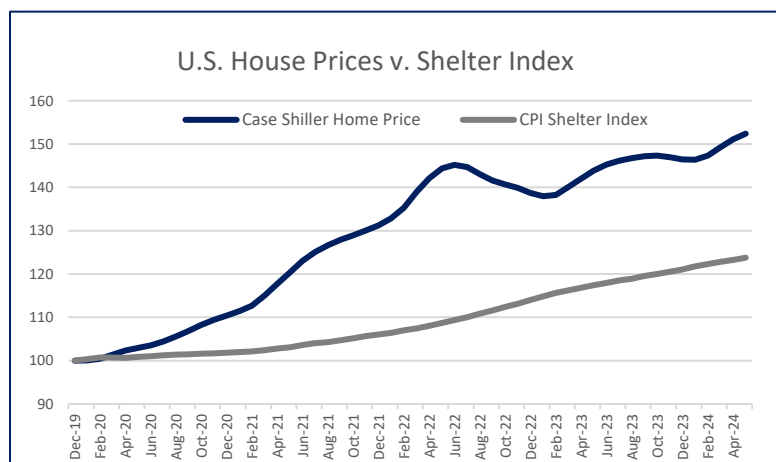
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What is Inflation?

“Lies, damned lies, and statistics” – Mark Twain (Benjamin Disraeli)

Inflation is commonly presented—and widely recognized—not by the aggregate price level, but rather by the rate of change in the price level. This results in confusion for many who read headlines about “falling inflation” but see no relief in their realized expenses.

This is a function of two factors. Primarily, while inflation growth may be rising more slowly (disinflation), it is vastly different from prices falling (deflation). Aggregate prices, as measured by the CPI, have risen by approximately 22.5% since the middle of 2020, while wages have only grown 18%. This difference might appear modest. But for the average family, a 450-basis-point “spread” is material, considering that the U.S. personal savings rate recently fell below 3%, after averaging over 6% between 2009-2019.



Source: St Louis Fed, Bureau of Labor Statistics

It should also be noted that, as with all government aggregate measures, inflation is a precisely inaccurate blunt calculation that is often vastly incongruous with the average households’ actual expenses. For instance, the S&P CoreLogic Case-Shiller U.S. National Home Price Index has risen approximately 52% since 2019. However, the CPI “Shelter” and “Owner’s Equivalent Rent” measures have

risen approximately 24%. The counterpoint to this data is that house prices do not reflect occupancy costs, but that doesn’t help new home buyers, nor reflect the impact of higher prices on the existing housing stock.

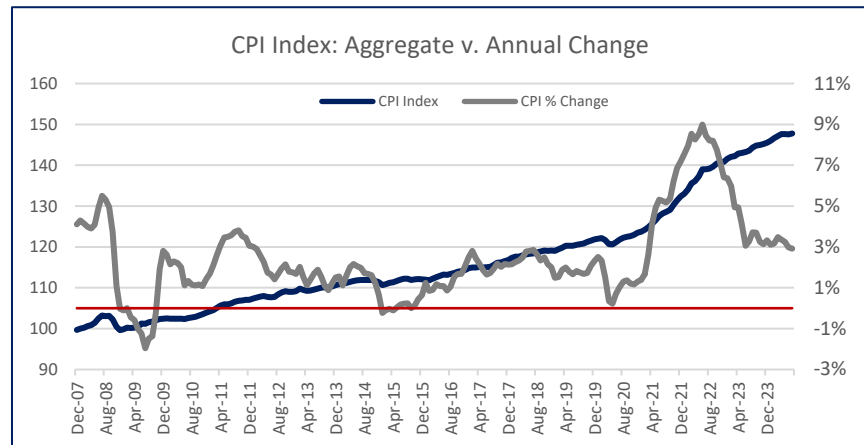
Central bankers and politicians would like to believe that we have experienced a brief and discrete inflation cycle, as opposed to a structural inflation regime change. The market has effectively experienced a full economic cycle in the past 3.5 years, much shorter than the usual 7-15 year duration. The market experienced a brief but severe recession in early 2020 as the economy contracted nearly 7%, more than double the one experienced in early 2009. However, unlike that period—when U.S. CPI registered a decline of roughly 2% (deflation)—prices never fell in 2020! Levels were essentially flat (disinflation) for the year ended March 2020, but did not fall. This is a remarkable datapoint that highlights the upward price sensitivity in the modern environment.



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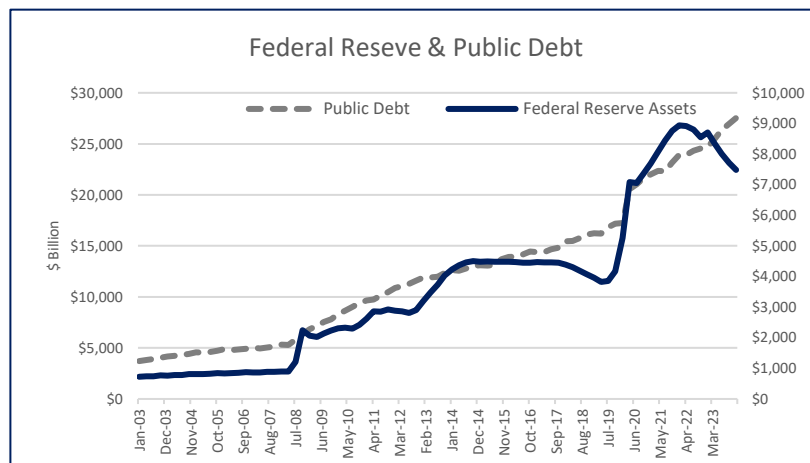
The Federal Reserve responded to the pandemic first by accelerating its ongoing rate reduction program and set the overnight borrowing rate at zero. This coincided with the Federal Reserve balance sheet expanding from approximately \$4 trillion to over \$7 trillion by the middle of 2020.



Source: St. Louis Fed

The latter move, along with various direct government funded capital injections into the economy, stimulated economic growth of nearly 17% in 2021, which was of course aided by approximately 7% CPI inflation. Inflation was running above 8% in early 2022, which effectively forced the Federal Reserve to begin its rate-hiking cycle. The Fed likely recognized that even a rapid rate hiking cycle would take time to impact price levels, but needed to urgently combat rising inflation expectations.

Overnight interest rates ultimately rose from an upper band of 0.25% in 2022 to 5.5% in July of 2023. While inflation fell from over 9% to approximately 3% a year later, prices have been rising in the 3-4% range for over a year now, even with a 5.5% reference interest rate. All else equal, the monetary mechanism should have permeated the economy and impacted prices by now.



Source: St. Louis Fed

During this period, though, total federal public debt increased by \$4.1 trillion. Thus, while the economy has grown and can functionally accommodate more debt, the fact remains that liquidity continues to be injected into the system—whether it be from the Treasury, Central Bank, or a combination thereof.

However, the fiscal side of the equation has come to dominate the economy and price levels, such that interest rates are far less impactful on non-rate sensitive assets.

The Federal Reserve balance sheet assets peaked at nearly \$9 trillion in 2022 and fell back to approximately \$7 trillion today. This could be viewed as tightened policy in isolation.



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Finally, to tie the policy information together, we can reference the federal debt outlook courtesy of the Congressional Budget Office (CBO). The U.S. is unique in that it provides a public forecast into its budget, which elucidates the deleterious path of public finances. It may be better or worse than various other OECD countries, but the data isn't publicly available for the others.

The CBO forecasts that deficits will average approximately 6% of GDP for the next decade, which will result in an additional \$22 trillion of public debt. If we use their presumed average interest rate on the public debt of 3.5%, the incremental interest alone will be nearly \$800 billion. This will result in total interest of nearly \$4 trillion by 2034, versus \$3.2 trillion projected for 2025.

Deficit spending has taken the baton from Federal Reserve's quantitative easing, but the net result remains stimulative capital flowing through the economy. There may come a time when the "public," whether domestic households or corporates—or foreign buyers—recognize the unsustainable path of U.S. finances and require a higher risk premium (i.e., interest rate) in order to purchase the debt. At this point, the two most viable options will be to balance the budget, which would probably have near catastrophic consequences on the economy, or revert to quantitative easing and shift funding back into the Federal Reserve balance sheet.

The fiscal quagmire co-exists with other structural variables that suggest that era of abundance has given way to an era of increased scarcity. The combination of these factors is highly likely to result in a prolonged era (decades) of higher structural inflation—a reality that is widely unappreciated by the market.



Signs of Structural Change

"It's not what you look at that matters, it's what you see." – Henry David Thoreau

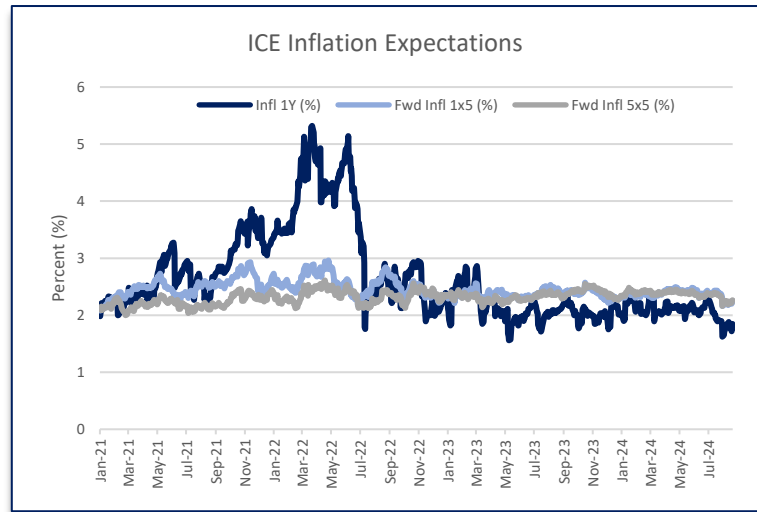
Financial analysis generally gives a primacy to quantitative data such as cash flows and asset and liability values. However, these variables are backward-looking, whereas financial markets are forward-looking. Forecasts into future inputs are much more subjective—and more variable, based on the decisions and actions of businesses and consumers.



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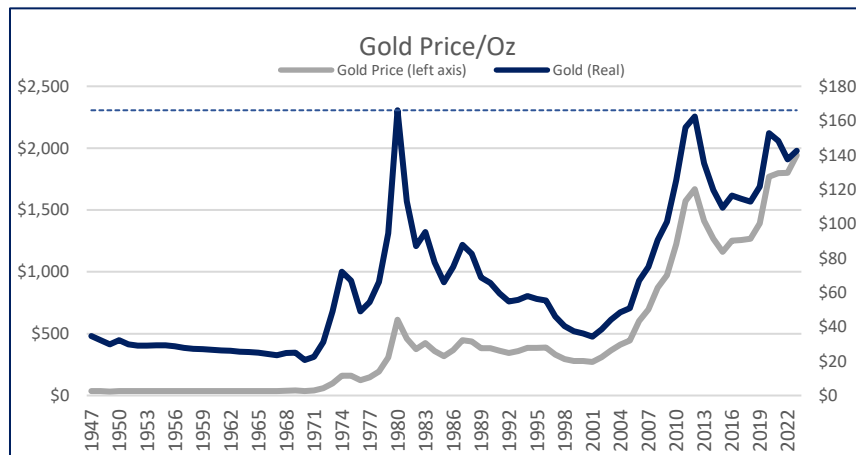
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Along these lines, inflation expectations are almost as important—if not more important—than prevailing or trailing inflation, because they influence decisions of consumers and corporations alike. There are a multitude of imperfect gauges for inflation expectations, such as implied break-evens based on TIPS spreads, inflation swaps, and interest rate futures. These indications all suggest an expectation that inflation levels will continue to moderate and eventually reach the Fed's 2% target. Critically, these markets further suggest that inflation will remain at 2% for the long-term (5-10 years).



Source: Intercontinental Exchange

Alternative data points have implicit inflation expectations, which suggest a different trajectory for price levels. For instance, gold has historically had a positive relationship with inflation expectations, including sensitivity to interest rates and dollar funding costs. Gold has no cash flow or yield; hence an investor must forego the short-term interest equivalent of a U.S. Treasury to justify holding the metal. Logically, the higher the short-term rate, the less attractive gold is—unless there is expected inflation. Similarly, gold is largely quoted and priced in U.S. Dollars, and foreign holders are also sensitive to the relative strength of the U.S. Dollar when buying gold.



Source: St Louis Fed

Short-term interest rates and the U.S. Dollar (ICE Dollar Index) are both at historically elevated levels that do not support higher gold prices in isolation. Even so, gold prices are near *nominal* all-time high levels, recently flirting with \$2,500 per ounce. This is nearly a quarter higher than the previous cycle peak gold price of

about \$1,900 in 2011. However, if we adjust prior cyclical peak average annual prices into real terms, the current price is approximately 15% lower than the 1980 and 2012 levels. Thus, while gold has advanced—and defied the Dollar/rate funding factors—it remains well below *real* historical highs.

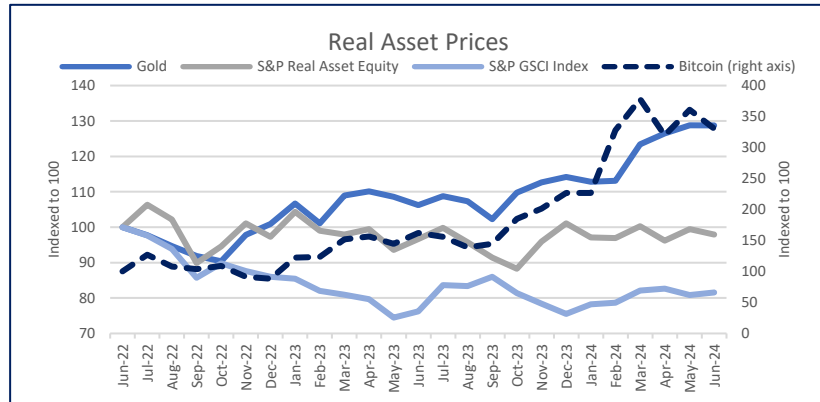


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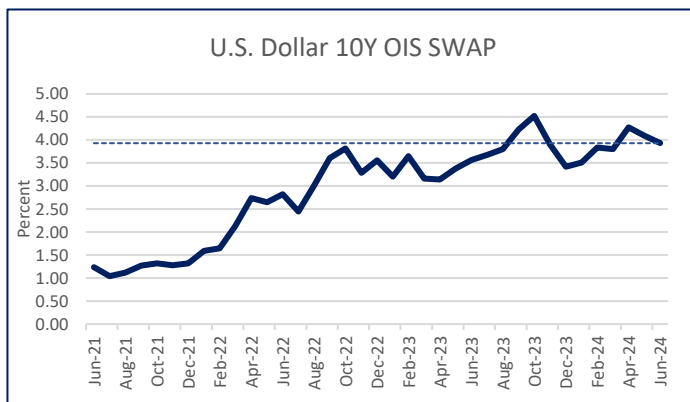
It has been argued that some of the marginal demand for gold has been displaced by demand for cryptocurrencies, namely Bitcoin. Gold and Bitcoin share certain properties, but the traditional central bank and emerging market buyer demand has largely remained gold-based thus far. In theory, Bitcoin is subject to the same funding dynamics as gold. But much like gold, it has recently hovered around all-time peak levels. Market commentators are quick to ascribe this price action to recent ETF approvals, but we are confident that this impact is vastly overestimated.

Gold and Bitcoin contradict the conventional inflation expectation barometers, but are also decoupling from broader real asset markets such as real estate, infrastructure, and natural resources. This warrants a review as to what might make these assets differ from the comparative gauges.



Source: Factset

Firstly, conventional inflation pricing markets are dependent upon CPI inflation. As previously discussed, this measure can deviate markedly from the actual experience of consumers. Therefore, assets with the potential to accurately reflect the true price experience have a unique investment value. Additionally, while real assets are subject to the same funding factors as gold and Bitcoin, operating assets have attendant cash flows and debts that gold and Bitcoin lack. These variables result in an interest rate sensitivity for real assets that is generally measured in decades.



Source: Bloomberg

So, while funding costs for debt on real estate, infrastructure, and natural resource projects will have a marginal positive impact from lower short-term interest rates, the asset values themselves are subject to long-term expectations, that are largely static. In fact, investors never expected long-term rates to stay high, and priced markets accordingly. If anything, the expectation has risen over time, and remains at similar levels today compared to two

years ago. The expected change in short-term rates, absent a shift in the yield curve's shape, isn't overly impactful to many of these assets.

It's also important to recognize the immediacy of commodity markets. Financial markets, which include commodity contracts, are discounting mechanisms for future expectations. However, when



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dealing in capital intensive raw materials—like copper, oil, gas, iron, and agricultural commodities—the market balance, hence clearing price, is determined at the present in the “physical market.”

Copper is a fitting example. This uniquely conductive, malleable, and “abundant” metal surged above \$10,000 per ton earlier this year, largely based on enormous market deficits developing in 2025 and beyond. The nascent demand drivers for copper include power generation, power transmission, data centers, electric vehicles, etc. Concurrently, copper supply has experienced mine delays and closures, declining ore grades and a dearth of new discoveries. Demand remains the higher sensitivity for current prices, and the primary current demand driver is commercial construction. This is inexorably sensitive to China’s activity levels. This reality dictated that the price surge was short-lived, and derailed by moribund construction in China.

The salient fact is that the future copper deficit is still very much a reality, and it can largely withstand even the direst current projections for China’s economic malaise. Yet physical copper inventories have grown, and positioning became extended by speculators, all of which contributed to a mispricing in futures markets that was reconciled in physical markets.

The difference for gold and Bitcoin is that these assets have truly scarce properties, and are not consumed like most industrial commodities. It is true that there are massive “above-ground” gold stores in the world, but mine production levels are disappointing, extraction costs are rising, and demand from “Dollar diversification” is robust. Similarly, Bitcoin has a natural decay to its money supply algorithm, even as its market value and adoption is increasing.

These markets offer a variant representation of inflation expectations that is worth considering, particularly given the flaws of the primary inflation expectation market measures. These signals can be endlessly debated without a definitive conclusion. We seek unique investments that can generate strong returns through multiple inflation and economic cycles.



Full-Cycle Positioning

“It’s remarkable how much long-term advantage people like us have gotten by trying to be consistently not stupid, instead of trying to be very intelligent.” – Charlie Munger

The concept of identifying real-asset-oriented businesses, which have business models (capital light) that promote capital preservation and compounding, is both intuitive and rational. However, it requires a true long-term investment outlook and fundamental financial analysis. The vast majority of investors are neither long-term nor willing to do necessary valuation work, which contributes to why this investment opportunity is available today.

We initially launched this strategy to address a long-term investment paradigm shift that would require positive exposure to real asset prices while managing interest rate risks. This shift also



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happened represent a substantial risk to many other asset classes. We never sought to provide a directional “bet” related to asset prices, but rather design a portfolio that could generate attractive returns through a variety of growth, interest rate, and inflation regimes. The returns to date support this premise, which is elaborated upon in this client update: [INFL – Actively Managed Returns Through Market Regimes²](#).



Year-to-Date 2024 Attribution: Top Contributions

Texas Pacific Land Corporation rose 40.7% during the period, outpacing crude oil (+15%) and natural gas (-6.2%). Texas Pacific is distinct from other energy royalty companies for many reasons, most notably its large surface land ownership. Surface land can generate cash flow from a variety of non-oil and gas activities—such as water use, infrastructure easements and material sales. The company has benefitted from increased oil and gas production in the region, which has driven higher water use, and water disposal demand.

Water disposal relates to “formation water” that is held in shale reservoirs and produced along with hydrocarbons. This water is a heavy brine with various toxic trace elements and elevated “total dissolved solid” content. As such, it is generally waste water and disposed of—at a rate of approximately 4 barrels of water for every barrel of oil equivalent produced. During the first quarter earnings call, the company announced a pilot program to treat and desalinate this water, which will facilitate various uses in a water-constrained region. This effectively turns a liability, with a disposal cost, into an asset.

This development highlights the “higher and better use” potential for the surface acreage, which now includes nascent wind power, solar power, carbon capture, and most recently, data center development. West Texas is poised to become one of the most important regions for power generation in the country, potentially hosting next generation high performance compute (HPC) data centers that use GPUs for artificial intelligence model training. This was highlighted in the initial offering of Landbridge shares, which the Fund participated in subsequent to quarter end.

Unlike most energy investors, we have long argued that this land has substantial value. As the Texas Pacific developed unrivaled scale in its land and minerals business, it was added to the S&P 400 MidCap Index just before the end of the quarter. This added incremental buying demand and liquidity for the stock, which further cements the company as the public market energy royalty leader.

Viper Energy, Inc. rose 23.3% during the period, similarly outpacing crude oil and natural gas prices. Viper initially came public as a limited partnership in 2014 under a higher corporate tax regime, and subsequently converted to a “taxable partnership” after the tax rate was lowered.

² https://horizonkinetics.com/app/uploads/INFL-Actively-Managed-Returns-Through-Regimes_July-2024_Final.pdf



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However, many investors (passive and active) are precluded from owning partnerships due to the tax treatment, whether taxable or not. Viper completed its conversion to a Delaware corporation late last year and has since had a considerable uptick in its investor base.

Viper has also proven out its world class energy mineral portfolio and its ability to consistently add value through accretive mineral acquisitions. Viper is a subsidiary of Diamondback Energy, which provides the company with unique operator information in sourcing and pricing mineral transactions. Diamondback has also provided Viper with exclusive access to its mineral portfolio for added growth. The company continues to outperform on both its existing production base and incremental acquisitions.

CACI International rose 32.8% for the year, driven by continued strength and acceleration across many of its government business verticals. CACI serves as a “defense technology” contractor, with most of its revenue derived from divisions within the U.S. Department of Defense. These range from mundane enterprise database security contracts to covert mission technology and services. The demand for its services has only grown amid various global conflicts, with higher growth in needs for communication, intelligence, and encryption provided by the company.

The majority of the contracts are structured to guarantee CACI a base return, which provides margin stability. Thus, growth will primarily be achieved via increased revenue, both organic and bolt-on acquisitions. We envision years of strong growth, with high margins supported by a highly inelastic customer—the U.S. government.

PrairieSky Royalty rose 9.2% for the year, slightly underperforming oil prices, largely due to production disruptions in Canada related to wildfires. PrairieSky shares re-rated materially in 2023 as the company was recognized for the diversity and breadth of its minerals, spanning nearly 20 million acres in the Canadian Western Sedimentary Basin. Canadian energy was historically mostly comprised of bitumen or “oil sands” reserves that are both expensive and highly carbon intensive to extract. The country also holds shale reserves similar to the United States, but the deposits are much less uniform and required exploration. The nascent Canadian shale industry developed much later than the U.S., but now has the benefit of applying decades worth of technological development in domestic fields.

There are lingering concerns regarding the ability for Canadian producers to export their oil and gas into global markets, as there are often steep discounts for captive domestic product. We see progress in term of gas export via new LNG terminals that should support pricing over time. Additionally, if we view the investment beyond a five-year time horizon, Canada has the largest economically viable energy reserve base in the world outside of OPEC nations. This will likely become a critical global resource much sooner than most observers appreciate.

Marsh & McLennan rose 12% for the year, with continued resilience and strength across its primary business verticals of Risk, Health, and Wealth. The Risk and Heath divisions primarily engage in brokering insurance and risk advisory to end clients. As such, there is minimal capital



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employed acting in a brokerage/advisory capacity, yet there is exposure to higher risk premiums and volumes. There are similar dynamics at the Wealth vertical, which primarily advises retirement plans on asset allocations while committing minimal capital.

The nature of Marsh's complementary businesses results in a durable growing business that is well-positioned for various macroeconomic environments, and able to benefit from inflationary pressures. Furthermore, the company has unique (growth) exposure to emergent themes in climate, healthcare, and cyber verticals. We view the company as a dependable—even if unexciting—position that consistently generates high returns on capital.

Bottom Contributions

Archer-Daniels-Midland declined 14.8% for the year, despite generic “soy crush” margins rising 18% and related soybean, soybean oil, and soybean meal prices all falling between 10-15% for the period. Agricultural products (soft commodities) are amongst the most cyclical commodities due to sensitivities to volatile weather, harvests, and economic activity (demand). These factors have switched from extremely supportive during much of 2021-2022 to less accommodative over the past two years. This is a natural ebb and flow of the market cycle that doesn't invalidate our long-term thesis of global food security and agricultural infrastructure.

The larger headwind impacting the shares relates to an internal accounting issue regarding the treatment of intracompany transactions. The firm appears to have been using favorable accounting to overstate growth and margins at the Nutrition segment—at the expense of the Oilseed and Carbohydrate segments. This is important because the Nutrition segment is the smallest, but highest growth/margin business, that helps distinguishes the company from peers.

Despite the restatement of its financials, which has no impact on consolidated results, the stock has yet to recover the losses from the disclosure. We believe the company will execute over time, thus “re-earning” its historical premium valuation multiple. Short of this, the organic growth profile and capacity for share repurchases can drive a healthy return.

Deterra Royalties declined 29.8% for the period, along with a 21.7% decline for the reference iron benchmark. Iron demand has been plagued by a moribund commercial property sector in China, which is acutely important to Deterra's primary asset in a royalty on an Australian iron ore mine. The mine, operated by BHP Group, has met, or exceeded all of its expansion targets, and is now on pace to be running at full capacity.

Deterra has sought to diversify its dependence on the single mine and commodity (iron ore), and took a step towards doing so with its announced acquisition of Trident Royalties (also a Fund holding) this past June. The acquisition price was very attractive for Deterra, at a material discount to NAV. However, to fund the transaction, the dividend distribution payout ratio was reduced by half. This proved to have substantial consequences given the large domestic shareholder base that highly values the tax-advantaged “fully franked” yield of the company. This should be a case of



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short-term pain for long-term gain, but the firmer iron prices are likely required for a material turnaround.

West Fraser Timber fell 9.5% for the period, which compares favorably to a 17.1% decline for reference lumber prices. Lumber prices, and the timber industry more broadly, are highly sensitive to U.S. residential construction activity. Despite a large and growing shortage of U.S. housing units, construction activity is depressed along with existing home sales due to the uncertainty regarding interest rates. House prices weathered the rate hiking cycle far better than widely feared, but the current policy uncertainty has kept builders and buyers cautious on new activity.

Timber, much like agriculture, is a naturally cyclical business. Our thesis is based on a longer-term trend of low housing inventory and consolidation within timber supply. We envision a robust market recovery when activity levels eventually revert to historical levels, with West Fraser well-positioned for both a continued downturn and recovery.

Permian Basin Trust declined 17.4% for the period, despite oil prices rising 15% and natural gas prices declining 6.2%. The primary asset owned by the trust is a “net profit interest” on the Waddell Ranch in Crane County, TX. This is similar to a royalty; however, in this case, the cash flow is net of both operating expenses and capital expenditures. The operator of the wells, Blackbeard, initially engaged in a low-cost, high-return vertical drilling program that resulted in strong distribution growth. However, the operator has since pivoted to a much more expensive horizontal drilling program that has eroded distributions.

The initial well log data suggests that this capital program is inefficient at current oil and gas prices. This should result in the operator reorienting towards the lower-cost, higher-return vertical wells (possibly compelled by the private equity sponsor). This will positively impact distributions, notwithstanding the pending litigation between the trust and the operator regarding expense allocation.

Charles River Laboratories declined 12.6% for the period, driven by further deterioration in demand from its core small- and mid-sized biotechnology clients. This demand weakness has resulted in lower sales growth and margins compared to the company’s previous guidance. Biotechnology markets have been weak for several years, despite broader healthcare cost growth. Part of the retrenchment was investor backlash after years of poor expense management industry wide. Charles River addresses cost concerns via its efficient and cost-effective “discovery, safety assessment and manufacturing solutions.” The company has reset at much lower growth expectations, which includes a markedly lower forward earnings multiple. These dynamics are poised to shift rapidly when biotechnology spending levels normalize.

The healthcare system continues to be one of the largest expenses for government, corporations, and households. Government policies result in structural healthcare cost inflation, and we are confident that this will ultimately flow through to the biotechnology and pharmaceutical industry. This will ultimately benefit the growth and margin profile at Charles River.



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We remain confident in the long-term outlook for the companies in the portfolio, in spite of increasing economic uncertainty. The conditions for structural upward price pressures are as strong as ever, and the capital light emphasis of the Fund holdings will help manage the inevitable interim market volatility. This is important, because the global economy has become far more vulnerable to systemic shocks, which are likely to become more commonplace.

The inflation cycle has resulted in a negative connotation surrounding rising price levels, but moderate inflation is beneficial to corporations, governments and consumers alike. It promotes economic growth and corporate earnings, which increase wages and government tax receipts, while also assisting with managing the ballooning federal debt/deficit.

As a result, we remain constructive on most risk asset prices over time, particularly real assets. But we recognize that this is a markedly different growth, inflation and interest rate regime – and are positioned accordingly for this underappreciated change

IMPORTANT RISK DISCLOSURES

To access the Top 10 Holdings for INFL, please click here: [INFL Top 10 Holdings](#)

To access the Prospectus for INFL, please click here: [INFL Prospectus](#)

To access INFL Performance, please click here: [INFL Performance](#)

To access INFL Gross Expense Ratio, please click here: [INFL Expense Ratio](#)

Please consider carefully a fund's investment objectives, risks, charges and expenses. For this and other important information, obtain a statutory prospectus and summary prospectus by contacting 646-495-7333. Read it carefully before investing.

Any performance data quoted represents past performance and does not guarantee future results. Investment return and principal value of an investment will fluctuate so that an investor's shares, when sold or redeemed, may be worth more or less than their original cost. Current performance may be higher or lower than the performance quoted. For performance current to most recent month end please call 646-495-7333.

The Horizon Kinetics Inflation Beneficiaries ETF (Symbol: INFL) is an exchange traded fund managed by Horizon Kinetics Asset Management LLC ("HKAM").

Investing involves risk, including the possible loss of principal. Shares of any ETF are bought and sold at market price (not NAV), may trade at a discount or premium to NAV and are not individually redeemed from the Fund. Brokerage commissions will reduce returns. The Fund's investments in securities linked to real assets involve significant risks, including financial, operating, and competitive risks. Investments in securities linked to real assets expose the Fund to potentially adverse macroeconomic conditions, such as a rise in interest rates or a downturn in the economy in which the asset is located.

The Fund is non-diversified, meaning it may concentrate its assets in fewer individual holdings than a diversified fund. Therefore, the Fund is more exposed to individual stock volatility than a diversified fund.

Blockchain Technology Risk: Blockchain technology, which underpins Bitcoin and other digital assets, is relatively new, and many of its applications are untested.



Horizon Kinetics Inflation Beneficiaries ETF (INFL)

Semi-Annual Report 2024 Commentary

Fund holdings and sector allocations are subject to change at any time and should not be considered recommendations to buy or sell any security. Opinions expressed are subject to change at any time, are not guaranteed and should not be considered investment advice. INFL does not invest in private REITS.

The Fund invests in foreign securities which involve greater volatility and political, economic and currency risks and differences in accounting methods. These risks are greater for investments in emerging markets.

The Fund may invest in the securities of smaller and mid-capitalization companies, which may be more volatile than funds that invest in larger, more established companies. The fund is actively managed and may be affected by the investment adviser's security selections.

Murray Stahl is a member of the Board of Directors of Texas Pacific Land Corporation ("TPL"), a large holding in certain client accounts and funds managed by Horizon Kinetics Asset Management LLC ("HKAM"). Officers, directors and employees may also hold substantial amounts of TPL, both directly and indirectly, in their personal accounts. HKAM seeks to address potential conflicts of interest through the adoption of various policies and procedures, which include both electronic and physical safeguards. All personal and proprietary trading is also subject to HKAM's Code of Ethics and is monitored by the firm's Legal and Compliance Department.

Diversification does not assure a profit or protect against a loss in a declining market.

HKAM does not provide tax or legal advice, all investors are encouraged to consult their tax and legal advisors regarding an investment in the Fund. You may obtain additional information about HKAM at our website at www.horizonkinetics.com.

DEFINITIONS

CPI: The Consumer Price Index (CPI) is a measure of the average change over time in the prices paid by urban consumers for a market basket of consumer goods and services.

Dividend yield: Dividend yield equals the annual dividend per share divided by the stock's price per share.

Stagflation: Persistent high inflation combined with high unemployment and stagnant demand in a country's economy.

Duration: Bond duration is a measure of how much bond prices are likely to change if and when interest rates move.

Bloomberg Barclays US Aggregate Bond Index: The Bloomberg Barclays US Aggregate Bond Index is a broad-based benchmark that measures the investment grade, US dollar-denominated, fixed-rate taxable bond market. The index includes Treasuries, government-related and corporate securities, MBS (agency fixed-rate pass-throughs), ABS and CMBS (agency and non-agency). An investor cannot invest directly in an index.

Basis points: Basis points are a common unit of measure for percentages in finance. One basis point is equal to 1/100th of 1%.

Cash Flow: Cash Flow (CF) is the increase or decrease in the amount of money a business, institution, or individual has.

M2: M2 is a measure of the U.S. money stock that includes M1 (currency and coins held by the non-bank public, checkable deposits, and travelers' checks) plus savings deposits (including money market deposit accounts), small time deposits under \$100,000, and shares in retail money market mutual funds.

P/E Ratio: Price Earnings Ratio is the relationship between a company's stock price and earnings per share.

A capital expenditure (CapEx): is the payment with cash or credit to purchase long-term physical or fixed assets used in a business's operations. It is an investment that affects cash flow, balance sheet, and valuation.

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